

Paradise Lost? Using Synthetic Historical Controls to Quantify Hawaii’s Mandatory Quarantine on Tourism

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Summary This paper uses a novel causal time series method to estimate the causal impact of Hawaii closing its borders to combat the spread of COVID-19 on Hawaii’s tourism industry.

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1. INTRODUCTION

Unlike other regions where economic contraction from COVID-19 emerged organically, through fear, voluntary distancing, or inconsistent mandates, Hawaii’s economic/tourism collapse was the direct and intended consequence of state policy. On March 26 2020, the government took the extraordinary step of effectively sealing the state’s borders, mandating a 14-day quarantine for all arrivals regardless of origin. In doing so, Hawaii enacted one of the few truly conscious economic shutdowns during the pandemic: a policy designed not just to mitigate risk, but to actively suppress travel and commerce. [ivanova2020unemployment] documents that a third of Hawaii’s labor force was unemployed within a month following the border closure, suggesting immediate economic impact.

2. REFERENCES